

"The big challenge is to manage the slowdown along with rupee depreciation and inflation control, particularly with polls round the corner."

V.N. DHOOT, CHAIRMAN, VIDEOCON GROUP

"The sentiments are extremely negative. The financial crisis will definitely have a cascading effect on the economy, particularly on the FDI front."

SAJJAN JINDAL, PRESIDENT, ASSOCHAM

"Growth will be impacted by lack of credit and high interest rates. If capital formation is hit, the pain for corporates could be prolonged."

S. RAMESH, COO, KOTAK INVESTMENT BANKING

BHASKAR PAUL



BITTEN: The realty sector is worst hit

for exports, optimism is hard to subscribe to despite the 18 per cent depreciation in the value of the rupee vis a vis the dollar. Particularly when the big tag sectors like IT&ES, engineering, and gems and jewellery are likely to be hit by demand slowdown in the major markets of the EU and US. This will further widen the gap in the balance of payments and impact the rupee unless growth stimulated to attract inflows again.

Unlike other economies, India is yet a domestic economy and can yet survive the crisis by building up demand at home. The economy requires corrective surgery not band aid solutions. This will require concerted action. The first step is to ensure liquidity and affordability of credit so that the woes of the financial sector do not visit the real economy. The next step would be to push projects and investment to spur demand and consumption. The mechanics that would make this happen can be detailed but creation of long-term equity and debt markets is a must. This will require better regulation and confidence in the markets.

For over four years, the UPA has dined out on growth that was really the result of private enterprise and consumption. If it looks back it, will

realise that it has been a saga of lost opportunities. Real growth requires creation of real assets and generation of real income, not sop kitchens and dole carts. Despite declarations and committees, infrastructure is woeful. Private sector projects promising investment of over Rs 5,00,000 crore are trapped in sloth and red tape. But that alone won't be enough.

In the absence or paucity of foreign capital flows, investment India will have to be led by the government. This will require it to curtail profligacy symbolised by the subsidy and exemption raj, monitor outlays and ensure outcomes on its spend. In solving the problems of public goods, the government could create private income and GDP growth. Adam Smith had remarked that individuals in the quest of personal gain frequently promote that of the society—an unintended consequence. Theorists now recognise that governments must hold this "invisible hand" that guides the destiny of economies at least in times of crises. How the A Team of the UPA plays its hand at this critical juncture will determine the survival of the India story.

*with Nivedita Mukherjee, Mallini Bhupta
and Nandini Vaish*